

ANSWERS OF MODEL TEST PAPER 7

INTERMEDIATE COURSE: GROUP-I

PAPER – 3: TAXATION

SECTION – A: INCOME TAX LAW

Division A – Multiple Choice Questions

MCQ No.	Sub-part	Most Appropriate Answer	MCQ No.	Most Appropriate Answer
1.	(i)	(c)	3.	(a)
	(ii)	(d)	4.	(b)
	(iii)	(a)		
2.	(i)	(b)		
	(ii)	(b)		
	(iii)	(b)		

Division B – Descriptive Questions

1. Computation of total income and tax liability of Mr. Sahil for A.Y. 2025-26

	Particulars	₹	₹
I	<u>Income from house property</u> Annual value of self-occupied property Less: Deduction under section 24(b) Interest on housing loan of ₹ 2,60,000 restricted to ₹ 2,00,000	Nil 2,00,000 (2,00,000)	
II	<u>Profits and gains of business or profession</u> Net Profit Add: Expenses debited to Profit and loss A/c but not allowable as deduction or to be considered under other head - Commission paid to brother [Commission paid to a related person/relative to the extent it is excessive to market rate is disallowed under section 40A(2)] - Cash payment to a Transport Carrier [Not disallowed under section 40A(3) since the limit for one time cash payment is ₹ 35,000 in respect of payment to transport operators]	94,92,000 10,000 Nil	

	- Interest to bank on term loan [Interest paid to bank after the due date of filing of return under section 139(1) is disallowed as per section 43B]	2,80,000	
	- Contribution to Prime Minister's Relief Fund [Not allowable since the same is not incurred wholly and exclusively for business purpose]	10,000	
	- SGST Penalty paid [SGST penalty paid is not compensatory in nature and therefore, not allowable]	49,000	
	- Loss on sale of shares	1,40,000	
	- Depreciation as per books of account	<u>14,00,000</u>	
		1,13,81,000	
	Less: Incomes credited to profit and loss account but not taxable as business income		
	- Dividend from Domestic Companies	1,05,000	
	- Winnings from lotteries	73,500	
	- Profit on sale of shares	<u>3,15,000</u>	
		1,08,87,500	
	Less: Depreciation allowable as per Income-tax Rules, 1962		
	- On Plant & Machinery [@15% on ₹ 98,00,000, being opening WDV of ₹ 84 lakhs and additions put to use for more than 180 days of ₹ 14 lakhs + @7.5% on ₹ 14,00,000, being additions put to use for less than 180 days]	<u>15,75,000</u>	
	Business Income	93,12,500	
	Less: Set off of loss from house property as per section 71(3A)	<u>2,00,000</u>	
			91,12,500
III	<u>Capital Gains</u>		
	Long term capital gains taxable u/s 112A [Since shares are held for 2 years and STT has been paid]	3,15,000	
	Less: Set off of short term capital loss as per section 70(2)	<u>1,40,000</u>	1,75,000
IV	<u>Income from Other Sources</u>		
	Dividend from Domestic Companies	1,05,000	
	Winning from lotteries (₹ 31,500 + ₹ 73,500)	<u>1,05,000</u>	
			2,10,000
	Gross Total Income		94,97,500

Less: Deduction under Chapter VI-A		
<u>Deduction under section 80C</u>		
Principal repayment of housing loan	50,000	
<u>Deduction under section 80EE</u>		
Interest on housing loan of ₹ 60,000 [₹ 2,60,000 – ₹ 2,00,000, allowed u/s 24(b)] allowable under section 80EEA	60,000	
<u>Deduction under section 80G</u>		
Contribution to Prime Minister's Relief Fund	<u>10,000</u>	<u>1,20,000</u>
Total Income		<u>93,77,500</u>
Tax Liability		
Tax on LTCG of ₹ 50,000 exceeding ₹ 1.25 lakhs] u/s 112A @12.5%		6,250
Tax on winning from lotteries of ₹ 1,05,000 @30%		31,500
Tax on balance income of ₹ 90,97,500 at slab rate		
Upto ₹ 2,50,000	Nil	
From ₹ 2,50,001 to ₹ 5,00,000 @5%	12,500	
From ₹ 5,00,001 to ₹ 10,00,000 @20%	1,00,000	
From ₹ 10,00,001 to ₹ 90,97,500 @30%	<u>24,29,250</u>	<u>25,41,750</u>
		25,79,500
<i>Add: Surcharge @10% since total income exceeds ₹ 50 lakhs but does not exceed ₹ 1 crore</i>		<u>2,57,950</u>
		28,37,450
<i>Add: Health and education cess @4%</i>		<u>1,13,498</u>
Tax Liability		<u>29,50,948</u>
Tax liability (Rounded off)		<u>29,50,950</u>

2. (a) **Computation of total income of Mr. Tilak for the A.Y. 2025-26**
(if he is Resident and Ordinarily Resident - ROR)

	Particulars	₹
(i)	FTS for services rendered in Malaysia Global income is taxable in case of a ROR.	50,000
(ii)	Profit from business in England controlled from Bombay Global income is taxable in case of a ROR.	3,00,000
(iii)	Past untaxed profits earned in Singapore and brought to India in current year	Nil

(iv)	Capital gain on sale of land in India but received in Malaysia Deemed to accrue or arises in India, since the property is situated in India.	2,00,000
(v)	Income from agricultural land in Nepal, received there Global income is taxable in case of a ROR	18,000
(vi)	Interest on saving bank deposit in SBI Taxable since it is deemed to accrue or arises in India.	<u>12,000</u>
	Gross Total Income	5,80,000
	Less: Deduction under Chapter VI-A	
	Deduction under section 80C - For repayment of housing loan	50,000
	Deduction under section 80TTA - Interest on savings bank account subject to a maximum of ₹ 10,000	<u>10,000</u>
	Total Income	<u>5,20,000</u>

**Computation of total income of Mr. Tilak for the A.Y. 2025-26
(if he is Resident but Not Ordinarily Resident - RNOR)**

	Particulars	₹
(a)	FTS for services rendered in Malaysia to a non-resident In case of RNOR, FTS would not be taxable in India since neither services are utilised for business in India nor FTS received in India.	Nil
(b)	Profit from business in England controlled from Bombay In case of RNOR, whole profits of ₹ 3,00,000 from business in England is taxable since business is controlled from India.	3,00,000
(c)	Past untaxed profits earned in Singapore and brought to India in current year	Nil
(d)	Capital gain on sale of land in India but received in Malaysia Deemed to accrue or arises in India, since the property is situated in India.	2,00,000
(e)	Income from agricultural land in Nepal, received there In case of RNOR, it would not be taxable in India, since neither it is deemed to accrue or arise in India nor received in India.	Nil
(f)	Interest on saving bank deposit in SBI Taxable since it is deemed to accrue or arises in India.	<u>12,000</u>

Gross Total Income	5,12,000
Less: Deduction under Chapter VI-A	
Deduction under section 80C - For repayment of housing loan	50,000
Deduction under section 80TTA - Interest on savings bank account subject to a maximum of ₹ 10,000	<u>10,000</u>
Total Income	<u>4,52,000</u>

- (b) (i) ABC Limited is required to deduct tax at source under section 194-I @10% on rent of ₹ 75,000 per month exclusive of GST component, since the aggregate rent of ₹ 9,00,000 during the financial year exceeds the threshold limit of ₹ 2,40,000.

Tax has to be deducted at the time of payment or credit, whichever is earlier.

- (ii) XYZ Pvt. Ltd. is not required to collect tax at source on sale of car of ₹ 4,00,000 to Mrs. Anju since its value does not exceed ₹ 10 lakhs.

However, it is required to collect tax at source u/s 206C(1F) @1% on the total sale consideration of ₹ 12 lakhs since the value of this car exceeds ₹ 10 lakhs.

Tax has to be collected at the time of receipt of ₹ 12 lakhs.

3. (a) (i) In the present case, the amount of advance of ₹ 2,00,000 received by Mr. Ravi from closely held manufacturing company would be deemed as dividend to the extent of accumulated profit of ₹ 1,00,000, since Mr. Ravi holds 22% shareholding in the company which is not less than 10% of the voting power in the company.

Accordingly, deemed dividend of ₹ 1,00,000 would be taxable in the hands of Mr. Ravi under the head "Income from Other Sources" for the A.Y. 2025-26.

- (ii) **Computation of deduction allowable u/s 35 for the A.Y. 2025-26**

	Particulars	₹
(i)	Revenue expenditure on scientific research allowable as deduction u/s 35(1)(i), assuming such expenditure is related to his business.	1,00,000
(ii)	Capital expenditure allowable as deduction u/s 35(1)(iv), assuming such expenditure is incurred for his business.	3,00,000
(iii)	Contribution to notified approved research association for scientific research – 100% of the amount paid is allowed as deduction u/s 35(1)(ii).	1,50,000

(iv)	Amount paid to H Ltd., an Indian company approved by the prescribed authority - 100% of the amount paid is allowed as deduction u/s 35(1)(ia)	2,50,000
(v)	Expenditure towards purchase of land – not allowed as deduction	Nil
(vi)	Revenue expenditure towards salary of research staff incurred in the F.Y. 2023-24 – allowed as deduction u/s 35(1)(i) in the P.Y. 2024-25 as it was expended within the 3 years immediately preceding the commencement of business	2,00,000
Total deduction allowable		10,00,000

(b)

Computation of Taxable Capital Gains for A.Y.2025-26

Particulars	₹
Full Value of Consideration	85,00,000
Less: Expenditure in connection with transfer	<u>50,000</u>
Net Sales Consideration	84,50,000
Less: Indexed cost of acquisition [₹ 13,00,000 (higher of actual cost to the previous owner of ₹ 10 lakhs and Fair market value as on 1.4.2001 of ₹ 13 lakhs) x 363/100]	47,19,000
Less: Indexed cost of improvements [₹ 10 lakhs x 363/220]	<u>16,50,000</u>
	20,81,000
Less: Exemption u/s 54 – in respect of residential house purchased on 20.12.2024	<u>12,00,000</u>
Taxable Long Term Capital Gains	<u>8,81,000</u>

Note – The above answer is on the basis of the view expressed by *Bombay High Court in CIT v. Manjula J. Shah 16 Taxman 42*, wherein it was held that Indexed cost of acquisition in case of gifted asset has to be computed with reference to the year in which the previous owner first held the asset and not the year in which the assessee became the owner of the asset.

Alternative answer is possible on basis of the plain reading of the provisions of section 48 wherein the indexed cost of acquisition would be determined by taking the Cost Inflation Index (CII) for the year in which the asset is first held by the assessee i.e. F.Y.2009-10. In such a case, the Indexed cost of acquisition would ₹ 31,88,514 (₹ 13,00,000 x 363/148) and taxable long term capital gains would be ₹ 24,11,486.

4. (a) **Computation of total income of Mr. Joshi for the A.Y.2025-26**

Particulars	₹	
Income from house property	2,00,000	
Less: Set-off of brought forward loss from house property of A.Y. 2022-23 is allowed, since 8 years period not yet lapsed	<u>2,00,000</u>	Nil
Profits and gains from business or profession		
Income from proprietary business	3,00,000	
Less: Set off of brought forward business loss of A.Y. 2014-15 not allowable as 8 years' time has already lapsed in the A.Y. 2022-23	Nil	
Less: Set off of unabsorbed depreciation of A.Y. 2014-15	<u>1,00,000</u>	2,00,000
[Note – Unabsorbed depreciation can be set-off against short-term capital gains]		
Capital Gains		
Short-term capital gain on sale of land	2,00,000	
Less: Set-off of short-term capital loss on sale of listed equity shares	<u>75,000</u>	1,25,000
Brought forward long-term capital loss is not allowed to be carried forward and set-off, since return of income for the A.Y. 2019-20 was filed after the due date of filing return of income.		
Income from Other Sources		
Interest on fixed deposit not includible in the hands of Mr. Joshi since his son is major		<u>Nil</u>
Gross Total Income		3,25,000
Less: Deduction under Chapter VI-A		Nil
Total Income		3,25,000

Items eligible for carried forward	
(i)	Loss from speculation business of ₹ 40,000 can be set-off against income from speculation business only. Hence, such loss would be carried forward to subsequent assessment year.
(ii)	Loss from owning and maintenance of race horses ₹ 50,000, can be set-off against income from income from owning and maintenance of race horses only. Thus, such loss would be carried forward to subsequent assessment year.
(iii)	Brought forward loss from house property can be set off only against income of house property. Hence, remaining loss of

	₹ 50,000 has to be carried forward to subsequent assessment year.
--	---

(b) [First Alternative]

- (i) In this case, Mr. Aneesh is not required to file return of income, since his total income does not exceed ₹ 3,00,000, being the basic exemption limit as per the default tax regime u/s 115BAC, assuming Mr. Aneesh has not claimed any deduction u/s 54/54D/54EC or 54F and deduction allowable under Chapter VI-A.
- (ii) In the present case, since Smt. Patel, a senior citizen has a TDS credit of ₹ 55,000, which exceeds the threshold limit of ₹ 50,000, she is required to file her return of income even if her total income does not exceed the basic exemption limit.
- (iii) In this case, since Mr. Ajit's gross receipts from the profession of architect was ₹ 12,00,000 for the P.Y. 2024-25, which is in excess of ₹ 10 lakhs, hence, he is required to file his return of income though his total income is ₹ 2,25,000 which does not exceed the basic exemption limit.

(b) [Second Alternative]

The CBDT has, vide Notification No. 37/2022 dated 21.4.2022, inserted Rule 12AB to provide that a person, other than a company or a firm, who is not required to furnish a return under section 139(1), and who fulfils any of the following conditions during the previous year has to file their return of income on or before the due date in the prescribed form and manner –

- (i) if his total sales, turnover or gross receipts, as the case may be, in the business > ₹ 60 lakhs during the previous year; or
- (ii) if his total gross receipts in profession > ₹ 10 lakhs during the previous year; or
- (iii) if the aggregate of TDS and TCS during the previous year, in the case of the person, is ₹ 25,000 or more; or

However, a resident individual who is of the age of 60 years or more, at any time during the relevant previous year (or senior citizen) would be required to file return of income only, if the aggregate of TDS and TCS during the previous year, in his case, is ₹ 50,000 or more

- (iv) the deposit in one or more savings bank account of the person, in aggregate, is ₹ 50 lakhs or more during the previous year.